TABLE 4.3 Correlation comparison	Dual EMA cross-over 100-50	Breakout 100-50	MSCI World TR	BTOP 50	Millburn Diversified	Dunn World Monetary and Agriculture
Dual EMA Cross-over 100-50	1.00	0.89	−0.12	0.57	0.44	0.54
Breakout 100-50	0.89	1.00	−0.17	0.62	0.52	0.58
MSCI World TR	−0.12	−0.17	1.00	−0.02	0.04	−0.08
BTOP 50	0.57	0.62	−0.02	1.00	0.80	0.80
Millburn Diversified	0.44	0.52	0.04	0.80	1.00	0.68
Dunn World Monetary and Agriculture	0.54	0.58	−0.08	0.80	0.68	1.00

work well as a complement to an equity portfolio, because they have positive return expectations and negative correlation to the market that would both improve return and reduce risk if held as part of a portfolio of stocks. In fact, all the diversified futures strategies here, including the Barclay index, have a slight negative correlation to world equities. The diversification effects of having vehicles in your portfolio that have a zero to slight negative correlation and still strong positive expectations can be huge.

The two futures funds correlate strongly to each other, which is to be expected and is a natural result of the nature of trend following.

Conclusions from the Basic Strategies

What we have established so far in this chapter is that even the simplest trend-following strategies can perform remarkably well over time. The point of this exercise was to demonstrate that the choice of trend-following method is not as important at people seem to think. It helps to have good buy and sell rules, but you can still achieve very good results using the most basic methods available to the public for decades. The secret sauce is not in the buy and sell rules.